

Affordable food for all of us.

Reforming the food system

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Green



The Green Party is the only party with a concrete plan to bring down the price of food. In a country that could feed its own population eight times over, nobody should go hungry.

The Green Party's plan will take on the supermarket duopoly, bring down the cost of food and groceries, and ensure everyone has easy and affordable access to good, nutritious kai.

Food connects us. Everyone needs to eat.

We're a nation of 5 million people, producing enough to feed 40 million people. No one in Aotearoa should go hungry.

Despite this, one in five children live in households that run out of food, food costs have increased by 29% over the last five years, and demand for food banks and emergency food grants is the highest it has been at any time, except during the pandemic.

Our food system could ensure that every New Zealander has access to affordable and nutritious kai.

Instead, it's controlled by two big supermarket chains who exploit their market power to prioritise their exorbitant profits, often for their overseas shareholders, crushing our farmers and growers at one end, and ripping off the rest of us at the other. Only the two big corporate giants - and their shareholders - are winning in this system.

Local food producers are too often held hostage by the supermarket duopoly. Supermarkets prioritising their own 'home' brands and stocking fewer local products is contributing to New Zealand-based producers, like the Heinz and Wattie's factories, shutting up shop.

The lack of competition means growers and producers have few options but to accept rock-bottom prices and conditions, risking their commercial viability and stripping the country of farming and horticulture resilience and expertise.

This model is structured to leave people hungry, growers operating on the edge of viability, and competitors unviable, while delivering massive profits to two enormous corporations. The current system is harming our health and our bank balances, and is undermining our national food independence.

Food is a basic human necessity, and good nutrition is essential to being able to lead a good life.

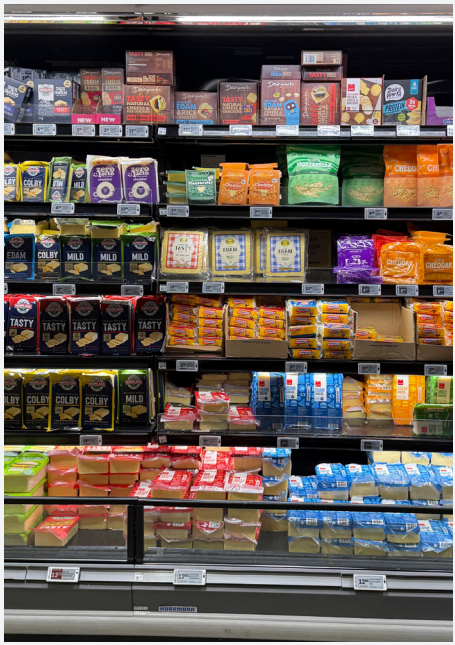
The Green Party will create the third supermarket competitor, owned by and for New Zealanders.

There will be more choice for both buyers and sellers, and supermarkets will no longer make extreme profits as they're forced to genuinely compete.

People will be protected by stronger rules, and the Commerce Commission will be equipped to enforce those rules. Being unknowingly ripped off at the checkout will stop.

Anti-competitive behaviours including data harvesting, undercutting with home brands, and loyalty schemes will be regulated.

Access to affordable, healthy kai cannot be left in the hands of profit-driven privately owned corporations. The Green Party will fix the system to give all of us lower prices, more choice, and greater security.



The Green Party will:

Break up the duopoly and create competition with KiwiMart

- Require Woolworths and Foodstuffs to divest at least 120 stores and distribution centre capacity into public ownership.
- Create KiwiMart, a publicly owned supermarket chain with a single mandate - keep prices down.

Protect people from unfair pricing in supermarkets and other sectors

- Immediately ban excessive supermarket prices.
- Extend the ban on price gouging to other uncompetitive sectors, including energy and fuel.
- Require supermarkets to be transparent about their price margins.

Empower the Commerce Commission to enforce the rules

- Introduce a mandatory supermarket pricing accuracy code, including automatic compensation requirements when shoppers are overcharged.
- Empower the Commerce Commission to regulate loyalty schemes and store brands, strengthen rules on incorrect pricing, and give consumers control over their shopping data.
- Increase funding for the Commerce Commission, increase fines, and empower the Commission to issue binding directions.

Create a National Food Strategy to plan and coordinate the food system

- Introduce a National Food Strategy in collaboration with producers, distributors, public health experts, Māori, and the community sector.
- Establish a legislative right to adequate and nutritious food.
- Prioritise local food in public procurement.
- Require large food distributors to reduce or donate surplus food.
- Ensure that food regulations are proportionate to scale.

Support community food security so no one goes hungry

- Establish a $150m Fair Food Fund to expand community-led food security initiatives.
- Increase funding for food banks from $8m to $25m and double the cap on food grants from Work and Income.

Provide better lunches for more children through Ka Ora, Ka Ako

- Restore the Ka Ora, Ka Ako programme so nutritious lunches are provided through schools and local providers.
- Expand the programme to around 400 more schools, ensuring 150,000 more children enjoy a nutritious lunch every day, and fund the programme permanently.

Break up the duopoly and create competition with KiwiMart

Successive governments have explored breaking up the supermarkets and forcing them to sell their stores to a new supermarket operator to improve competition, but neither National nor Labour have been willing to commit to restructuring the supermarket duopoly.

The Green Party will establish a publicly owned supermarket chain, breaking up the Woolworths and Foodstuffs duopoly.

The Green Party will finish where National and Labour left off and require the supermarket duopoly to divest at least 120 of their stores and distribution centre capacity in both the North and South Islands.

These will be sold into public ownership to establish KiwiMart, a new publicly owned supermarket chain. This will ensure the new competitor is collectively owned by New Zealanders, and working in the public good to deliver lower prices for all of us – as recommended by Consumer NZ.

This supermarket will operate as a self-sustaining and commercially viable competitor in the grocery market, like KiwiBank's role in the banking sector – but at a competitive scale.

We'll task the Commerce Commission to work with the duopoly to identify which stores should be divested to KiwiMart based on local market share, and to determine fair compensation without merely rewarding them for their dominant market position.

KiwiMart will have a clear and single mandate to prioritise affordability for consumers.

People will see lower prices at the checkout thanks to KiwiMart's affordability mandate and a more competitive grocery sector, even if they shop at Woolworths, New World, or Pak'nSave.

Local suppliers and food producers will be less reliant on just the two major supermarkets, making it harder for the duopoly to squeeze local processors and growers out of the market – like we've seen with the McCain and Wattie's factory closures.

KiwiMart will start with the initial acquisition of distribution centres, and build additional distribution centres as needed.

Protect people from unfair pricing in supermarkets and other sectors

The two large supermarket chains, Foodstuffs and Woolworths, have been making $1 million a day in excessive profits on top of a reasonable margin. They can only do this because of their dominant position in an uncompetitive market, which lets them charge ordinary people too much for their food and groceries.

The Green Party will immediately ban supermarkets from exploiting their market share to charge unfair prices above their costs and a reasonable margin.

We will require the supermarkets to share their pricing information with the Commerce Commission so they can monitor and enforce the price gouging ban. We've already introduced legislation to do this.

This would bring us into line with Australia, which has also recently introduced legislation to prohibit supermarkets from charging excessive prices.

We will extend the ban on price gouging to other uncompetitive sectors, including energy and fuel.

The Commerce Act used to explicitly prohibit any business from charging unreasonably high prices, but this was stripped from our laws during the deregulation of the 1980s.

We know that supermarkets aren't the only sector where businesses abuse their market position to charge unreasonably high prices. Local food producers and processors have also struggled with high electricity and fuel prices.

We will restore a broad prohibition on excessive pricing as part of a wider review of the Commerce Act.

Empower the Commerce Commission to enforce the rules

Supermarkets too often overcharge consumers, which adds up over time to significant costs for consumers. In 2023, Consumer NZ filed a formal complaint with the Commerce Commission, which laid criminal charges against Woolworths and two Pak'nSave stores for misleading pricing. In 2024, the Commerce Commission estimated that pricing errors were costing consumers tens of millions of dollars every year.

The Green Party will introduce a mandatory supermarket pricing accuracy code, including automatic compensation requirements when shoppers are overcharged.

Misleading or incorrect pricing isn't the only way the supermarket duopoly gives consumers a bad deal. Every day, the supermarket duopoly uses loyalty card schemes to obscure pricing, drive up prices, discourage shopping around, and track customer purchasing habits.

Consumer NZ has warned that supermarkets could use the loyalty card data they collect to dynamically change prices throughout the day, as is increasingly common in European grocers, potentially targeted to each shopper.

They use store brands like Essentials and Pams to squeeze out local producers, reducing range and competition across the market. We've already seen this contribute to the closure of the McCain and Wattie's factories in the Hawkes Bay.

The Green Party will empower the Commerce Commission to directly regulate the use of loyalty cards, store brands, and other anti-consumer practices to protect competition and transparency.

We'll also explore extending the Consumer Data Right framework to the supermarket sector, allowing consumers to share their loyalty data with other supermarkets and trusted price comparison tools and use their own purchase history to get better offers and compare baskets. This would give consumers control over their information and help level the playing field for new competitors who lack the duopoly's decades of information.

To limit the shopping data collected and to prevent against 'surveillance shopping', we'll give consumers greater rights to choose what data supermarkets can collect about their shopping habits, how long they can keep it, and what supermarkets can do with it.

The Greens will ensure a strong Commerce Commission that is resourced and empowered to hold the supermarkets and other big corporates to account. In contrast, over the last three years, the Luxon Government has reduced funding for the Commerce Commission by millions of dollars.

The Green Party will increase funding for the Commerce Commission, increase fines for breaking the rules and empower the Commission to issue binding directions.

We'll increase funding for the Commerce Commission by $25m to put them in a stronger position to enforce our competition laws, including doubling the Commission's litigation budget.

We'll raise the maximum penalties available under the Commerce Act. Currently, the maximum penalty is the greater of $10m, three times the commercial gain, or 10% of turnover during the breach period. We will raise this to the greater of $50m, three times the commercial gain, and 30% of turnover. This brings us closer into line with Australia's penalties.

We'll also give the Commerce Commission the power to issue binding directions in response to a market study or investigation, like they can in the United Kingdom – not just recommendations.

These reforms will put the Commerce Commission in a stronger position to enforce competition not just in the grocery sector, but across the whole economy.

We'll deliver these priority interventions to address supermarket competition as part of a wider overhaul to ensure the Commerce Act is fit for purpose and stops giving big companies a free pass.

Create a National Food Strategy for the whole food system

The control of our food system has been handed over to the big producers, processors, and retailers, and leaves the needs of everyday New Zealanders and our environment unprotected from corporate greed.

The Green Party will introduce a National Food Strategy in collaboration with food producers, food distributors, public health experts, Māori, and the community food sector.

Canada, Scotland, the United Kingdom, and the European Union have all established coordinated strategies and frameworks that recognise the intersections of feeding their people, climate, health, and food resilience.

Our National Food Strategy will embed Māori kai sovereignty principles, supporting the re-indigenisation and re-localisation of our food systems. This means ensuring Māori governance and leadership in shaping food policy, and could include supporting marae-based food distribution, protecting traditional food sources, and creating opportunities to grow, share, and prepare food locally through the Fair Food Fund.

The National Food Strategy will underpin and connect food policy across all sectors, ensuring there is more equitable access to affordable and nutritious food, that our food system is resilient to domestic and international shocks, and that we can produce food within environmental and climate limits.

It will establish a legislative right to adequate and nutritious food, and make sure schools, hospitals and other public institutions prioritise local food procurement.

The National Food Strategy will require large food distributors like supermarkets to reduce or donate surplus food to food rescue organisations. It will also ensure that food regulations are proportionate to scale, so small-scale local and community food production can operate under reasonable and fair conditions.

Support community food security so no one goes hungry

New Zealand's food system is already much broader than just the supermarket model, and supermarkets alone will not deliver the food security New Zealanders need. Community organisations across the country are building alternative models for food processing and distribution.

The potential for community solutions to contribute to local food security and resilience is immense. The greatest constraint these organisations and potential initiatives face is resourcing.

Nationwide organisations like the New Zealand Food Network collect and distribute rescued food at an unprecedented scale, supported by many local food rescue and food distribution organisations.

Many communities have established food hubs, providing everything from storage and collection to processing and kitchens.

Frontline organisations have also been forced to start up social supermarkets or expand their food bank operations to meet the ever-increasing demand for emergency food support.

The Green Party will establish a $150m Fair Food Fund to expand community-led food security initiatives.

This fund will support community-led initiatives that can improve food security, resilience, and reduce waste, in line with our National Food Strategy. It will support initiatives at the local, regional, and national levels.

This fund could support the establishment of regional and local food hubs, markets, community cold storage, marae-based food infrastructure, seed banks, social supermarkets, online food distribution platforms, Garden to Table or Pā to Plate programmes, and other innovations that provide better access to food.

The fund could also support the financing of community and co-operative ownership of local food processing. It will endeavour to provide longer-term funding that ensures projects have certainty and time to demonstrate success.

This will replace the existing $1 million 'Community Food Security Initiatives Fund', currently administered by Ministry of Social Development, which will be reprioritised into other Food Secure Communities funding.

The Green Party will also ensure that everyone can access the food they need in an emergency by increasing funding for food banks and doubling the cap on food grants from Work and Income.

Food banks and food grants should not be necessary, but it will take time to reform our food system to ensure food security for all of us. Expanding access to emergency support in the short-term is critical to ensure no immediate need goes unmet.

We will increase the funding for regional food distribution hubs and community food providers from up to $8 million to $25 million - restoring funding to at least 2023/24 levels.

This will include restoring a high-trust approach for accessing emergency food grants, so nobody has to jump through hoops to access the support they need.

Provide better lunches for more children

Imagine a future where every child receives a nutritious lunch at school, prepared locally and with locally sourced ingredients. School lunches are not just about food. They are about investing in our tamariki and our future.

The Luxon Government has slashed funding per meal, taken lunch provision away from local communities, and handed it over to a few big companies that prioritise their profit margins over feeding our kids.

That move alone destroyed up to 2,000 local jobs. Half of lunches now fail to meet nutrition standards and much more food is wasted than before. And they've only committed funding until the end of 2027.

School lunches should be there to meet the needs of our kids. Research shows that students who miss meals are two to four years behind in maths, reading, and science achievement compared to their classmates who never miss meals.

When more and more families are struggling to put food on the table and one in five children live in households that run out of food, we can't afford to continue the Luxon Government's inadequate school lunch programme.

The Greens will restore the Ka Ora, Ka Ako programme so nutritious lunches are provided through schools or local providers.

We'll expand the programme to around 400 more schools, ensuring 150,000 more children enjoy a nutritious lunch every day, and fund the programme permanently.

The Green Party will extend the programme to schools with an equity index over 450, ensuring that it continues to target the most disadvantaged communities first. We'll raise funding per lunch to at least $6.50 to ensure meals are nutritious and tasty, and don't just go to waste.

Restoring local provision will restore up to 2,000 jobs lost when the government gutted the scheme, and expanding the scheme will create up to 1,900 more jobs.

We'll also empower schools, particularly those opting for in-house provision, with resources to integrate the growing of produce and the production of meals with classroom learning and hands-on education. Schools will be supported with kitchen fit-outs and other necessary facilities to deliver the programme.

Restoring and expanding Ka Ora, Ka Ako is the first step towards providing a warm, nutritious, and locally made lunch to all schoolchildren.



Costs

Costings for each policy have been projected through to the end of 2031 and are estimates only based on the best available information.

Supermarket reform

The estimate of the cost of acquiring 120 stores was modelled by the Parliamentary Library and independently analysed and affirmed by Infometrics, noting the below limitations.

We have estimated that it could cost $1.3 billion to acquire 120 stores and two distribution centres. We'll also capitalise the new publicly owned supermarket chain with $1.5 billion, based on the work by Northelia.

A limitation of this modelling is the inability to disaggregate Four Square stores from the average store cost, which are less likely to be divested under the proposed model. Another limitation is that the financial statements of Foodstuffs North Island do not capture the financial results of individual stores who are owned and operated by members individually, so information on FSNI stores is limited. The $1.3 billion cost is the highest of multiple valuation methods used.

	2027/28	2028/29	2029/30	2030/31	CAPEX
Acquisition and capitalisation of supermarket	$1m	$0.5m	-	-	$2.8bn
Funding boost for Commerce Commission	$25m	$26m	$26m	$27m	

Community food security

	2027/28	2028/29	2029/30	2030/31
Fair Food Fund	$150m	$150m	$150m	$150m
Increase to Food Secure Network	$17m	$18m	$18m	$19m
Doubling of cap on food grants	$94m	$96m	$98m	$100m

Better school lunches

The cost of restoring and expanding Ka Ora, Ka Ako and doubling the cap on emergency food grants were also modelled using best available information by the Parliamentary Library.

Estimated jobs created by expanding school lunches are based on scaling up the number of jobs reportedly retained or created by Ka Ora, Ka Ako suppliers in a 2022 Ministry of Education survey.

	2027/28	2028/29	2029/30	2030/31
Restoring Ka Ora, Ka Ako model and extending programme	$472m	$586m	$591m	$602m



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